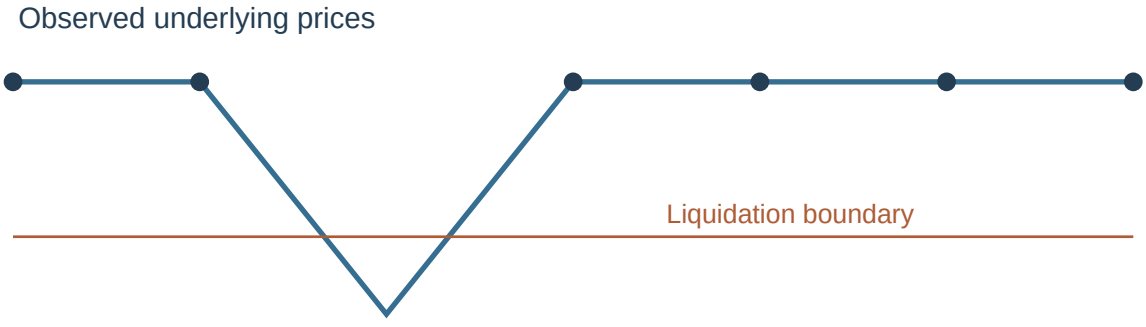

An unobserved breach changes the contract outcome.

Schematic only; dots are observation times.